

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 25-09
QVC, INC. AND CORNERSTONE BRANDS, INC. v.
OCEAN NETWORK EXPRESS PTE. LTD.

VERIFIED COMPLAINT

I. INTRODUCTION

1. Complainants QVC, Inc. and Cornerstone Brands, Inc., on behalf of themselves and their subsidiaries and affiliates (collectively “QVC” or “Complainants”),¹ by their undersigned counsel, bring this Verified Complaint (the “Complaint”) against Respondent Ocean Network Express Pte. Ltd. (“ONE” or “Respondent”), pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to Complainants caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), alleged herein.

2. The COVID-19 pandemic caused unprecedented challenges to trade and the global economy. During these difficult times, as alleged herein, Respondent took advantage of disruptions to the container shipping sector and unfairly exploited its customers. Consequently, Respondent’s profits surged considerably while shippers and the broader public in the United States shouldered increased freight costs in the form of cost surges and inflation.

3. *First*, as alleged herein, Respondent has engaged in a practice of systematically failing to meet its respective service commitments to Complainants and, upon information and

¹ Cornerstone Brands, Inc. and QVC, Inc. are both subsidiaries of QVC Group, Inc.

belief, other shippers. Complainants entered into service contracts with Respondent (collectively, the “Service Contracts”) for the period May 1, 2021 through April 30, 2022 (the “2021–2022 shipping year”). As described further herein, each of the Service Contracts specified minimum quantity commitments (“MQCs”)² of cargo to be shipped and corresponding service commitments by Respondent to provide vessel space sufficient to carry those MQCs. Upon information and belief, however, instead of honoring its respective service commitments to Complainants under the Service Contracts, Respondent systematically failed to meet those service commitments and, on information and belief, sold Complainants’ bargained-for space at higher rates for cargo from other shippers to maximize its own profits. As a result, Complainants had to obtain space on the spot market at enormous expense during a period of unprecedented high spot prices, or else forgo making such shipments.

4. The Federal Maritime Commission (the “FMC” or “Commission”) has recognized the unlawful nature and broad impact of such practices. For example, in *MCS Industries, Inc. v. COSCO SHIPPING Lines Co., Ltd. and MSC Mediterranean Shipping Company SA*, FMC Docket No. 21-05, the FMC’s Chief Administrative Law Judge found, in a decision unanimously affirmed by the Commission itself, that the Shipping Act violations alleged against a respondent in that case, which parallel Respondent’s practices of failing to meet its service commitments to Complainants as alleged herein, “***are of national significance***, for example, that one of the largest container lines in the world ‘sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainants, to resort to spot market purchases’ by the ‘practice of systematically failing to meet its quantity commitments’”³

² While the ONE Service Contracts specifically reference a minimum volume commitment (“MVC”), that term is synonymous with MQC, the standard term industry wide.

³ Except where otherwise noted, all bold and italicized text reflects added emphasis.

5. *Second*, Respondent's misconduct alleged herein was not limited to its practice of flouting its respective service commitments. Respondent also engaged in a practice of coercing Complainants, and, upon information and belief, other shippers, to pay extracontractual prices and surcharges, including Peak Season Surcharges ("PSS"), as a precondition to Respondent meeting even a portion of its respective service commitments under its service contracts.

6. *Third*, upon information and belief, during the 2021–2022 shipping year, at least a substantial majority of the demurrage and detention charges (the "Charges") assessed by Respondent and paid by Complainants were assessed for periods of time in which Complainants' ability to pick up containers at the ports, or return empty containers promptly, was constrained due to circumstances outside the control of Complainants, such as port congestion and shortage of equipment.

7. Upon information and belief, Respondent's practices were knowing and deliberate, and were not due to an absence of available cargo space or necessitated by any other circumstance outside of Respondent's control.

8. Upon information and belief, Respondent has profited greatly from the conduct alleged herein. ONE reported unprecedented profits during the COVID-19 pandemic: \$16.756 billion in 2021 and \$14.997 billion in 2022. These numbers represent exorbitant increases from the \$3.484 billion in profits that ONE realized for fiscal year 2020. As stated in ONE's financial results presentation for the 2021 fiscal year, "[t]he increase in profit is mainly due to a continued high spot freight market, resulting from tight supply and demand."

9. Respondent has also greatly benefited by joining, along with other major non-U.S. shipping lines, "alliances" at the expense of shippers. Until early 2025, ONE was part of the "THE Alliance" with Hapag Lloyd AG, HMM Company Limited and Yang Ming Marine Transport

Corporation. As of February 2025, ONE has formed a new alliance with HMM Company Limited and Yang Ming Marine Transport Corporation called the “Premier Alliance.”

10. Respondent’s profitability has come at the direct expense of businesses and consumers in the United States. During the COVID-19 pandemic, many companies, similar to Complainants, endured severe pressure from freight costs and faced the possibility of going “bankrupt because of the current situation with extremely high freight rates” as described by one maritime commentator and industry consultant. That same commentator further stated that “[i]f the situation ends up not lasting long, most will be able to hold their breath and weather the storm. But the longer it lasts, the more will end up in a situation they’re unable to manage.” The contemporary impacts of increased freight costs across the entire shipping industry were devastating to shippers’ businesses.

11. Profiteering by container lines injures not only shippers but the entire consumer public, in the form of inflation. In the aftermath of the pandemic, inflation rose to crisis levels and led to extreme fiscal tightening in the form of increased interest rates, while global ocean carriers reported windfall profits. Indeed, the International Monetary Fund released an Analytical Series report on January 24, 2023 indicating that “[t]he 2021 surge in global shipping costs was a canary in the coal mine for the persistent rise in inflation” and that “[g]iven the actual increase in global shipping costs during 2021, we estimate that the impact on inflation in 2022 was more than 2 percentage points—a huge effect that few central banks would dismiss.”

12. Respondent’s conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainants and, upon information and belief, of other shippers, occurred on a normal and customary basis.

13. Accordingly, pursuant to 46 U.S.C. Section 41301, Complainants bring this Complaint seeking reparations for injuries caused by Respondent's violations of the Shipping Act, as alleged herein.

II. THE COMPLAINANTS

14. Complainant QVC, Inc. is a corporation organized and existing under the laws of the State of Delaware with its principal place of business located at Studio Park, 1200 Wilson Drive, West Chester, Pennsylvania 19380, reachable via telephone via (484) 701-1000, and via its undersigned counsel's telephone numbers and email addresses listed below. Its subsidiaries include HSN, Inc. QVC, Inc. is a "shipper" as that term is defined by 46 U.S.C. Section 40102(23).

15. Complainant Cornerstone Brands, Inc. is a corporation existing under the laws of Delaware with an address of 5568 W Chester Road, West Chester, Ohio 45069, reachable via telephone via (513) 603-1000, and via its undersigned counsel's telephone numbers and email addresses listed below. Cornerstone Brands, Inc. is a "shipper" as that term is defined by 46 U.S.C. Section 40102(23).

III. THE RESPONDENT

16. Upon information and belief, Respondent Ocean Network Express Pte. Ltd. is a company existing under the laws of Singapore with its principal place of business located at 7 Straits View, #16-01 Marina One East Tower, Singapore 018936, acting in the United States by and through its agent, Ocean Network Express (North America) Inc., a company existing under the laws of the Commonwealth of Virginia with its principal place of business located at 8730 Stony Point Parkway, Richmond, Virginia 23235, and is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 027043.

17. Upon information and belief, Respondent Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. acted jointly in the conduct alleged herein with respect to Complainants and, upon information and belief, other shippers, and therefore are referred to herein collectively as “ONE”.

IV. JURISDICTION AND LEGAL AUTHORITY

18. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 *et seq.*

19. The FMC has personal jurisdiction over Respondent as an “ocean common carrier”, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a “service contract”, as that term is defined by 46 U.S.C. Section 40102(21), with Complainants.

20. By definition, Respondent’s Service Contracts with Complainants required Respondent to “commit[] to a certain rate or rate schedule ***and a defined service level, such as assured space***, transit time, port rotation, or similar service features.”⁴

21. Respondent’s practice alleged herein of systematically failing to meet its service commitments constitutes a failure by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

22. Respondent’s practice alleged herein of systematically failing to meet its service commitments also constitutes the provision of service in the liner trade that was not in accordance

⁴ 46 U.S.C. § 40102(21)(B) (emphasis added); *accord* 46 C.F.R. § 530.3(q); *see also* 46 U.S.C. § 40502(c)(7) (requiring service contracts to include “service commitments” as essential terms); 46 C.F.R. § 530.8(b)(5) (same); 46 C.F.R. § 530.8(c)(1) (providing for the certainty of terms in service contracts by, *inter alia*, prohibiting such essential terms from being “uncertain, vague or ambiguous”).

with the rules and practices contained in its respective Service Contracts with Complainants, in violation of 46 U.S.C. Section 41104(a)(2)(A).

23. Respondent's practice alleged herein of systematically failing to meet its service commitments also constitutes a violation of 46 U.S.C. Section 41104, including in particular 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

24. Respondent's practice alleged herein of coercing premium pricing and extracontractual surcharges from Complainants by conditioning performance of its respective existing service commitments on the payment of premium prices and extracontractual surcharges constitutes a failure by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

25. Respondent's practice alleged herein of coercing premium pricing and extracontractual surcharges from Complainants by conditioning performance of their respective existing service commitments on the payment of premium prices and extracontractual surcharges also constitutes the provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondent's Service Contracts with Complainants, in violation of 46 U.S.C. Section 41104(a)(2)(A).

26. Respondent's practice alleged herein of coercing premium pricing and extracontractual surcharges from Complainants by conditioning performance of its respective existing service commitments on the payment of premium prices and extracontractual surcharges also constitutes a violation of 46 U.S.C. Section 41104, including in particular 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

27. Respondent’s assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of Respondent that led to the assessment of such Charges constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants, in violation of 46 U.S.C. Section 41102(c) and the FMC’s Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 (May 18, 2020) (partially codified at 46 C.F.R. Section 545.5) (the “Interpretive Rule”), and in particular the Incentive Principle articulated in the Interpretive Rule.

28. Respondent’s assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of Respondent that led to the assessment of such Charges also constitute violations of 46 U.S.C. Section 41104, including in particular 46 U.S.C. Section 41104(a)(10)’s prohibition on unreasonable refusals to deal or negotiate.

V. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

Extreme Port Congestion and Supply Chain Crunch Throughout the United States

29. By tonnage, about 70% of all U.S.-international trade moves by water through U.S. ports. From 2019 to 2022, there was a sustained increase in containerized imports to most U.S. ports as compared to pre-pandemic levels. In late 2021 and early 2022 in particular, the number of container ships waiting to dock at a U.S. port more than doubled, peaking at more than 150 in early February 2022. Across all major U.S. ports, the supply chain crunch was driven by a confluence of pandemic-related disruptions, including labor shortages, increased consumer demand, and infrastructure inadequacies, with self-serving business practices by ocean carriers, marine terminals, and other supply chain participants. In that environment, soaring freight rates became the norm. The consolidation of the shipping industry further aggravated the situation, as carriers and carrier alliances prioritized profits over service reliability, leaving shippers and exporters to

bear the brunt of the crisis while the carriers, under the guise of limited supply and congestion, raked in historic, unprecedented profits.

30. The Ports of Los Angeles and Long Beach, California, which together handled nearly 40% of U.S. imports, experienced severe congestion throughout 2021 and early 2022. This congestion, driven by high consumer demand, the early Lunar New Year, and the ongoing effects of the COVID-19 pandemic, led to significant delays in unloading and moving cargo. By late 2021, the twin ports were overwhelmed, with 87 vessels waiting offshore due to record import volumes driven by post-pandemic consumer demand. The number of vessels waiting offshore grew to as many as 141. In an effort to alleviate container yard congestion, the city of Long Beach implemented temporary measures such as allowing container stacks to double in height. Despite these efforts, the situation deteriorated. Between 2020 and 2022, the Port of Los Angeles experienced notable fluctuations in container volumes, measured in twenty-foot equivalent units (“TEU”s), compared to the pre-pandemic period of 2017 to 2019. During the pre-pandemic years, the port consistently handled around 9.3 to 9.5 million TEUs annually. However, 2021 saw a dramatic increase, with the port processing a record high of about 10.7 million TEUs, reflecting a significant surge in activity. By 2022, volumes slightly declined to approximately 9.9 million TEUs but remained higher than the pre-pandemic averages, indicating a sustained increase in activity despite the easing of pandemic-related disruptions.

31. The Port of Oakland, California also faced severe congestion throughout 2021. A major carrier warned in a May 2021 customer advisory that, although the Ports of Los Angeles and Long Beach “remain strained with vessel wait times averaging between one to two weeks”, “the situation is even more dire at the Port of Oakland, where wait times now extend up to three weeks.” In June 2021, the Port of Oakland reported significant increases in cargo volume, reaching

an all-time high of handling the equivalent of 1.08 million 20-foot containers from January through May 2021, driven by a 26% rise in imports in May compared to the previous year. Bryan Brandes, the Maritime Director of the Port of Oakland, highlighted the unprecedented challenges, citing both record cargo volumes at U.S. West Coast ports and disruptions at the Port of Yantian in China due to a COVID-19 outbreak there.

32. At the Port of New York and New Jersey, the busiest container port on the U.S. East Coast, pandemic disruptions also resulted in a significant strain on operations, as the terminals struggled to handle increased import volumes. COVID-19's effects on the workforce further exacerbated congestion issues, with Sam Ruda, Director of the Port Authority of New York and New Jersey, stating "[w]e have seen a spike in the number of labour[ers] going out into quarantine". Vessels queued for extended periods, and the limited storage capacity caused a ripple effect, including mounting demurrage and detention charges for shippers. Increased waiting times for container ships and labor shortages caused by initial COVID-19 pandemic reductions led to further delays. The overall impact on the port was significant, with cargo volumes reaching 8.12 million TEUs by the end of November 2021, compared to 7.47 million TEUs for the entire year of 2019. In early January 2022, the Port of New York and New Jersey faced an unusual backlog of container ships anchored off Long Island, resulting from a surge in cargo volumes combined with a spike in COVID-19 cases among dockworkers, leading to increased quarantine rates. Consequently, the average wait time at anchorage for container carriers rose from 1.6 days for all of 2020 to 4.75 days in the final week of 2021. In May 2022, the Port of New York and New Jersey was still experiencing significant congestion due to a surge in cargo volumes. The average number of container ships waiting to dock reached 14 per day, the highest since the onset of the COVID-19 pandemic.

33. The Port of Savannah, Georgia, a major logistics hub for the southeastern United States, experienced some of the longest vessel queues in its history during the 2021-2022 period, with at times more than 40 ships anchored offshore waiting to unload. Port leaders reported that ongoing congestion and labor challenges at West Coast ports “caused shippers to redirect cargo to the East Coast, [and] a lot of that has come to Savannah”, which saw a significant increase in redirected shipments as a result. As of October 2021, almost 80,000 shipping containers had been left at the Port of Savannah as they waited to be delivered either to their final destinations or to warehouses that were already filled to the brim.

34. Secondary ports across the United States, including those along the coast of the Gulf of Mexico and smaller ports on the Atlantic Ocean, experienced varying degrees of strain as shippers sought alternatives to congested major ports. The ripple effects of diverted cargo flow often overwhelmed these smaller ports, which lacked the same level of infrastructure and operational capacity. This dynamic highlighted the interconnectedness of the national port system and the critical need for a more resilient and flexible logistics network to manage future disruptions.

35. For example, during the supply chain crisis, the Port of Houston, Texas became increasingly significant due to its central role in Gulf Coast logistics. While it initially avoided the extreme congestion seen on the coasts, once the “East Coast’s big ports became too busy, shippers began to send more containers to Houston instead” and by “January 2022, Houston saw a 27 percent rise in containerized traffic year-on-year, leading to a shortage of space.” There was no sign of slowdown throughout 2022. In October 2022, the “container volume at Port Houston once again grew by double digits, continuing the trend seen throughout 2022. A total of 371,994 TEUs were handled during the month, a 13% increase compared to October 2021.” These difficulties

strained its infrastructure, highlighting the cascading effects of the national supply chain disruptions.

36. The Northwest Seaport Alliance, which includes the Ports of Seattle and Tacoma, Washington was similarly affected during the crisis. In October 2021, “[w]ith congestion spreading to other ports across the United States [certain carriers] announced that they will be omitting calls in Seattle due to the mounting delays at the port.” Additionally, “Hamburg-based Hapag-Lloyd also announced that it would omit Seattle on at least four sailings of its Pacific North Loop 3 service from Nov. 8 onward, calling on Oakland in the meantime.” These ports were critical nodes in the supply chain on trade routes between the United States and Asia and were vulnerable to the same systemic pressures as Los Angeles and Long Beach. The surge “led to stalls in the supply chain as ports struggled to keep up with a throng of ships, rail and truck traffic waiting to load and unload containers full of goods.”

Respondent Systematically Failed to Meet Its Service Commitments Under the Service Contracts in Favor of Cargo Shipped at Higher Rates

37. As alleged above, Complainants entered into Service Contracts covering the 2021–2022 shipping year with Respondent.

38. Complainants’ Service Contracts with Respondent specified respective MQCs of cargo to be shipped and entailed corresponding service commitments by Respondent to provide vessel space sufficient to carry those MQCs.

39. Instead of honoring its service commitments, Respondent undertook a practice of systematically failing to provide the cargo space for which Complainants had contracted in the Service Contracts, resulting in mounting shortages. For example, on May 20, 2021, QVC’s Senior Logistics Manager wrote to ONE requesting an update on pending bookings, noting: “We seem to continue to struggle with . . . correct allocations.”

40. In another email dated July 7, 2021, QVC's Senior Logistics Manager again urged ONE: "Please push for release on the pending bookings. We are well under the current allocation and need your support to get the full allocation confirmed."

41. When one of Complainants' logistics providers reached out to Respondent in August 2021 regarding its failure to release the full contracted-for allocations for weeks 36 and 38 out of Ningbo, China, ONE's Shanghai office replied with a single word: "No."

42. On September 8, 2021, Complainants escalated the issue, stating that they "continue[d] to have bookings refused by the Ningbo office," which remained unresolved as of September 22, 2021, when QVC's Senior Logistics Manager wrote to ONE: "This is unacceptable. How do we get ONE to honor the committed allocation. Can you please escalate this internally and address. We have been more than patient and need to understand why ONE continues to refuse our freight out of Ningbo."

43. As alleged herein and summarized below, Respondent pursued a policy of falling short on its service commitments throughout the terms of its Service Contracts and profited by shifting the cargo space for which Complainants had contracted to freight being carried at higher rates.

44. Respondent executed the Service Contract with QVC, Inc. for the 2021–2022 shipping year with an MQC of 1,200 forty-foot equivalent container units ("FEUs"), respectively, corresponding to a monthly allocation of approximately 100 FEUs for the 2021–2022 shipping year. Upon information and belief, during that shipping year, Respondent engaged in a practice of providing only part of the contracted service commitment, to reserve space on its vessels for higher-priced spot market purchases, which resulted in mounting shortages. As a result of

Respondent's practices, QVC, Inc. was forced to obtain alternative space at higher prices or forgo shipments entirely.

45. QVC, Inc.'s records indicate that Respondent carried only approximately 47.75% of its service commitment under the Service Contract, for a shortfall of at least 627 FEUs—52.25% less than committed. This shortfall forced QVC, Inc. to obtain alternative cargo space at much higher prices or else forgo shipments entirely. On information and belief, during the 2021–2022 shipping year, the additional incremental cost of replacing Respondent's shortfall was at least \$7,721,864.

46. Respondent executed the Service Contract with Cornerstone Brands, Inc. for the 2021–2022 shipping year with an MQC of 1,150 FEUs, corresponding to a monthly allocation of approximately 95.8 FEUs for the 2021–2022 shipping year. Upon information and belief, during that shipping year, Respondent engaged in a practice of providing only part of the contracted service commitment, to reserve space on its vessels for higher-priced spot market purchases, which resulted in mounting shortages. As a result of Respondent's practices, Cornerstone Brands, Inc. was forced to obtain alternative space at higher prices or forgo shipments entirely.

47. Cornerstone Brands, Inc.'s records indicate that Respondent carried only approximately 42.4% of its service commitment under the Service Contract, for a shortfall of at least 662 FEUs—57.6% less than committed. This shortfall forced Cornerstone Brands, Inc. to obtain alternative cargo space at much higher prices or else forgo shipments entirely. On information and belief, during the 2021–2022 shipping year, the additional incremental cost of replacing Respondent's shortfall was at least \$10,459,570.

* * *

48. Respondent's failures throughout the 2021–2022 shipping year constituted a systematic practice of failing to fulfill its service commitments to Complainants.

49. Upon information and belief, ONE had the ability to perform its obligations under the Service Contracts. ONE has the world's sixth largest container ship fleet capacity. Its cargo capacity was plainly large enough to accommodate the service commitments set forth in the Service Contracts.

50. During the 2021–2022 shipping year, Complainants collectively had to obtain alternative carriage at higher rates for at least 1,289 FEUs of cargo (54.85% of total MQC) that Respondent could and should have carried. These failures by Respondent resulted in Complainants paying above and beyond the prices Complainants would have paid had Respondent honored the pricing and service commitments guaranteed under the Service Contracts.

51. Upon information and belief, Respondent's failure to provide contracted space to Complainants was part of a practice by Respondent of preferring higher-priced freight.

52. Upon information and belief, and as shown by Respondent's reported soaring revenues and profitability despite failing to carry approximately 54.85% of their service commitment to Complainants during the 2021–2022 shipping year, Respondent's shortfalls on its service commitments to Complainants and other shippers with service contracts were the result of Respondent violating its service commitments and offering bargained-for space to other shippers who were willing to pay higher freight prices.

53. Upon information and belief, Respondent's shortfalls in honoring its service commitments under the Service Contracts during the 2021–2022 shipping year forced Complainants to secure space on the open market at high prices, resulting in collective excess costs of at least \$18,181,434 under the Service Contracts.

54. Upon information and belief, Respondent's actions in deliberately failing to honor its service commitments and instead allocating space to the highest bidder also contributed to the inflationary spiral in container rates by artificially increasing demand, including by forcing shippers who had already negotiated service contracts into the open market to make up for shortfalls caused by Respondent's unjust and unreasonable practices.

Respondent's Unjust and Unreasonable Practice of Coercing Extracontractual Surcharges from Complainants

55. In addition to failing to meet its respective service commitments, Respondent engaged in an unjust and unreasonable practice of coercing financial concessions above and beyond those purportedly fixed by the Service Contracts, such as PSS, premium rates, or other surcharges, as a prerequisite to honoring even a portion of their existing service commitments.

56. In late July 2021, QVC employees internally discussed the opportunities that might arise from agreeing to PSS from August to October of that year. When a QVC employee expressed his support for agreeing to PSS, he referenced information provided to him by an ONE employee highlighting the benefits of consistency and the potential for extra space: "I think we should do this to get consistency from the carrier as well [they] mentioned we could get extra loader opportunities. They don't offer those to customers who don't pay PSS. He also mentions pretty much every other customer of his has PSS. I think we are low on the totem pole because of this."

57. On July 23, 2021, the same ONE employee who the QVC employee referenced in his July 2021 email later provided similar information directly to QVC regarding the additional space opportunities PSS could afford. After a QVC employee directly asked if "opportunities will arise for us if we do this", the ONE employee responded that "[t]he PSS may open up some opportunities for additional space when it's available." The ONE employee additionally indicated

that “[t]he space team will be able to request additional allocation for you on weeks where they see some space open up in our [regional] buckets”.

58. Respondent’s behavior demonstrated a conscious and growing pattern of entering service contracts with shippers at quoted prices with the intention of not actually meeting its service commitments under such service contracts at the agreed-upon rates as rates on the open market continued to increase. Instead, Respondent either imposed additional and ever-rising charges beyond the service contract rates, such as PSS or premium rates, or neglected to provide transportation to the contracted shippers at all. Overall, Respondent’s wrongful imposition of additional charges caused QVC, Inc. and Cornerstone Brands, Inc. to overpay for the carriage they did receive from Respondent by amounts up to or exceeding approximately \$1,475,142 and \$344,301 respectively during the 2021–2022 shipping year.

* * *

59. Carrier practices of demanding additional surcharges on top of already elevated contract prices have been subject to regulatory scrutiny. On August 4, 2021, the FMC launched an inquiry into the timing and legality of ocean carrier practices with respect to surcharges. FMC Chairman Daniel B. Maffei noted that cargo rates were already at “record highs”, and that “[n]ow, we hear increasing reports of ocean carriers assessing new additional fees, such as ‘congestion surcharges’, with little notice or explanation.”

60. Chairman Maffei observed, “It seems to me that [congestion-related] factors would already have been included into the record high rates charged by the carriers As Chairman, I want to know the carriers’ justifications for additional fees and I strongly support close scrutiny by the FMC’s Bureau of Enforcement aimed at stopping any instance where these add-on fees may not fully comply with the law or regulation.”

The Demurrage and Detention Charges

61. As alleged herein, the Charges, or a substantial majority thereof, were unjustly and unreasonably assessed, and were due to either the acts or omissions of Respondent or other circumstances over which Complainants and their respective agents and service providers had no control.

62. Accordingly, Complainants seek reparations with respect to the Charges addressed herein under 46 U.S.C. Sections 41301 *et seq.*⁵

63. Complainants request that the FMC promptly investigate the Charges pursuant to 46 U.S.C. Section 41301(c), specifically regarding their compliance with 46 U.S.C. Sections 41102(c) and 41104(a) and their reasonableness pursuant to 46 C.F.R. Section 545.5 and the FMC's Interpretive Rule.⁶

64. Complainants request that the FMC promptly order Respondent pursuant to 46 U.S.C. Section 41305 to pay Complainants reparations for the unlawful conduct alleged herein for

⁵ The Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272 (Jun. 16, 2022) ("OSRA 2022"), included a new procedure for complaints about charges assessed by common carriers, now codified at 46 U.S.C. Section 41310, which, *inter alia*, requires the common carrier to "bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to" 46 C.F.R. Section 545.5. 46 U.S.C. § 41310(b)(2). Complainants respectfully submit that nothing in the text of OSRA 2022 purports to limit the availability of this *procedure*, including the aforementioned burden allocation, as long as a complainant's *substantive* claims regarding the charges at issue are based entirely on pre-existing (i.e., pre-OSRA 2022) Shipping Act provisions and associated regulations, and do not invoke any of OSRA's new *substantive* provisions or protections with respect to such charges. For that reason, Complainants believe that the *procedure* set forth in 46 U.S.C. Section 41310 with respect to the Charges complained of herein should be available to Complainants notwithstanding the FMC's July 14, 2022 "Industry Advisory – Interim Procedures for Submitting 'Charge Complaints' Under 46 U.S.C. § 41310", which suggested that filing parties must "[c]onfirm[] that the disputed charge[s] [were] incurred on or after the enactment of P.L. 117-146" (i.e., June 16, 2022), and the FMC's additional Guidance that "Charge Complaint procedures do not apply to . . . Charges invoiced or assessed prior to the effective date of OSRA on June 16, 2022." Accordingly, Complainants respectfully request that the Presiding Officer issue an Order that the procedure set forth in 46 U.S.C. Section 41310 is available to Complainants with respect to all of the Charges challenged herein (including those assessed prior to the enactment of OSRA 2022) and afford Complainants an opportunity to bifurcate their claims brought herein to proceed separately pursuant to 46 U.S.C. Section 41310 with respect to the Charges.

⁶ Complainants recognize that, with respect to charges incurred prior to June 16, 2022, the FMC's determinations will be based on 46 U.S.C. Sections 41104(a) and 41102, and 46 C.F.R. Section 545.5, as they existed at the time.

all Charges paid by Complainants that the FMC determines did not comply with 46 U.S.C. 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 or the FMC's Interpretive Rule.

62. Upon information and belief, the Charges assessed by Respondent and paid by Complainants were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of Complainants and its agents and service providers, such as congestion at ports, lack of appointments to pick up or return containers, and shortage of equipment such as chassis.

65. During the 2021–2022 shipping year, QVC, Inc. and Cornerstone Brands, Inc. paid at least approximately \$797,835 and \$978,784, respectively, in detention and demurrage Charges assessed by Respondent that were excessive and, in large part, operated to penalize QVC for conditions outside of their control. For example, communications between QVC and/or its drayage vendors and ONE indicate delays and technical issues that ONE failed to quickly mitigate, resulting in accumulating Charges.

66. On December 30, 2021, after a QVC employee requested demurrage be cleared on a container, a ONE employee, after confirmation from the customer service team, noted that the container was released. That same day, however, QVC's drayage vendor informed ONE that the clearance was "not showing updated on TTI website" and that they needed ONE's "support to get this cleared and updated to get [the] load out today." Days later, on January 3, 2022, a drayage vendor employee again alerted ONE that the "[c]ontainer never cleared" and if ONE could "please clear ASAP so we can get this out today, if not late[] tomorrow."

63. On February 4, 2022, a QVC employee asked ONE for assistance with extending time on a container to February 8 and for ONE to waive the additional storage fee. That same day,

ONE responded that the customer service team was resending the release to the terminal and would let QVC know when there was a response. After receiving no response from ONE, QVC followed up on February 7, asking for an additional extension to February 10, and again on February 9. ONE finally responded by midday on February 10 that the customer service team repeatedly said that “demurrage has been cleared”, but QVC’s reply demonstrated the opposite: “[It] still says it’s showing hold on terminal. This has been back and forth way [too] long; my original request was for 2/4, now it’s 2/10.”

64. Based upon Respondent’s unreasonable conduct related to the Charges, Complainants incurred additional costs related to the Charges in amounts to be proven at trial.

* * *

65. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC’s Fact Finding Investigation 29, “the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an *enforceable principle* that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended.”

66. As illustrated in the FMC’s Interpretive Rule, “the purpose of demurrage and detention are to *incentivize cargo movement*,” and therefore the FMC “will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.”

67. As alleged herein, Respondent’s assessment of the Charges, or a substantial majority thereof, and the acts or omissions of Respondent that led to the assessment of such Charges were incapable of incentivizing cargo movement and therefore unreasonable.

68. Upon information and belief, the Charges imposed on Complainants did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive—but profitable for Respondent—penalty on Complainants for circumstances over which Complainants and its agents and service providers had little to no control such as congestion at ports, lack of appointments, or shortages of equipment.

69. Moreover, the Charges imposed on Complainants were unreasonable based on the totality of the circumstances, including circumstances caused by factors out of Complainants' control and by Respondent's own policies, actions, or inaction.

Respondent's Practices Enriched Itself

70. Respondent's practices succeeded in enriching Respondent at Complainants' expense, as shown by the record financial results Respondent reported during the relevant time period.

71. Respondent ONE reported "a record profit of US\$16,756 million" in 2021, an increase of 109% from the previous year "mainly due to a continued high spot freight market, resulting from tight supply and demand."

Complainants' Injuries

72. As alleged herein, Respondent's behavior has caused significant harm to Complainants in numerous ways, such as producing delays in freight transportation, appropriating scarce resources for ocean freight expenses, causing uncertainty and scarcity within the business, and disrupting Complainants' ability to operate, and resulting in injuries, including lost profits, in an amount to be determined at trial.

73. Respondent's shortfalls in honoring its respective service commitments during the 2021–2022 shipping year forced Complainants to secure space on the open market at high prices,

resulting in excess costs of at least \$7,721,864 for QVC, Inc. and \$10,459,570 for Cornerstone Brands, Inc. under the Service Contracts.

74. Respondent's wrongful imposition of excessive charges on top of the rates that Complainants should have paid under the Service Contracts caused Complainants to overpay for the carriage that they did receive from Respondent in an amount up to or exceeding approximately \$1,475,142 for QVC, Inc. and \$344,301 for Cornerstone Brands, Inc. during the terms of their respective Service Contracts.

75. Respondent's wrongful imposition of the Charges directly injured Complainants, in amounts to be determined at trial.

76. As the FMC's Chief Administrative Law Judge noted in the *MCS Industries* case, abuses like those alleged herein are matters of "national significance." Abusive, unjust, and unreasonable practices by major international ocean carriers, such as the conduct alleged herein, are likely to wield outsized influence over general practices in the industry. If not corrected, Respondent's unlawful practices may become industry standard, sending a message to all global container lines that it is acceptable to ignore service contracts and coerce surcharges from customers as a precondition to carrying previously contracted cargo, and impose punitive detention and demurrage charges upon shippers because of delays and conditions outside of shippers' control.

77. Between December 2024 and June 2025, Complainants attempted to discuss potential resolution of Complainants' claims with Respondent. Complainants and Respondent entered into a tolling agreement and, as such, Complainants' claims alleged herein are timely brought. Complainants shared information regarding the containers and charges at issue, as well as information regarding relevant port conditions. Complainants requested that Respondent share

specific information regarding its carriage for Complainants and records regarding charges—offering to enter into an NDA prior to the exchange of such information—but Respondent refused to provide any information in response to Complainants’ requests.

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)

78. Complainants repeat and reallege each and every allegation above as if fully set forth herein.

79. Respondent’s practices alleged herein constituted failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

COUNT II: VIOLATION OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5

80. Complainants repeat and reallege each and every allegation above as if fully set forth herein.

81. Respondent’s assessment of the Charges, and the alleged acts or omissions of Respondent that led to the assessment of such Charges, constituted failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants, in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC’s Interpretive Rule.

COUNT III: VIOLATION OF 46 U.S.C. § 41104(a)(2)

82. Complainants repeat and reallege each and every allegation above as if fully set forth herein.

83. Respondent's practices alleged herein constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondent's Service Contracts with Complainants, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

COUNT IV: VIOLATION OF 46 U.S.C. § 41104(a)(10)

84. Complainants repeat and reallege each and every allegation above as if fully set forth herein.

85. Respondent's practices alleged herein constituted unreasonable refusals to deal or negotiate with Complainants in violation of 46 U.S.C. Section 41104(a)(10).

VII. CAUSATION

86. Respondent's practice of systematically failing to meet its respective service commitments to Complainants has directly and proximately injured Complainants by forcing Complainants to make alternate transportation arrangements, at substantially higher prices, for cargo that was could and should have been carried by Respondent pursuant to the terms of the Service Contracts or forgo shipping such cargo altogether.

87. Respondent's actions in coercing Complainants to pay extracontractual charges, surcharges, and premium pricing for contracted freight have directly and proximately injured Complainants by forcing Complainants to pay a premium for cargo that was could and should have been carried by Respondent pursuant to the terms of their respective Service Contracts or forgo shipping such cargo altogether.

88. Respondent's assessment of the Charges has directly and proximately injured Complainants by forcing Complainants to pay unjust and unreasonable detention and demurrage charges.

89. Respondent's conduct has caused Complainants to incur other injuries, including delays, failures to receive time-sensitive merchandise, reduced inventory for sale, unnecessary expenses, lost profits, as well as attorneys' fees and expenses relating to litigation.

VIII. REPARATIONS SOUGHT

90. Respondent's misconduct has injured Complainants in several ways.

91. During the terms of Complainants' Service Contracts with Respondent, Respondent's misconduct alleged herein caused Respondent to carry only 573 FEUs of the 1,200 FEU MQC in the Service Contract for QVC, Inc. and only 488 FEUs of the 1,150 FEU MQC in the Service Contract for Cornerstone Brands, Inc., resulting in shortfalls of 627 FEUs and 662 FEUs, respectively, for which Complainants had to make alternate transportation arrangements at higher prices or forgo shipping such cargo altogether, resulting in excess freight charges paid, lost profits, and/or other business damage.

92. The damage done to Complainants' businesses as a result of Respondent's misconduct alleged herein was extreme. The additional incremental cost of replacing Respondent's 627 FEU shortfall for QVC, Inc. and 662 FEU shortfall for Cornerstone Brands, Inc. during the 2021–2022 shipping years resulted in amounts up to or exceeding approximately \$7,721,864 and \$10,459,570, respectively, more than what Complainants would have paid had Respondent honored its service commitments.

93. In addition, Respondent's misconduct has resulted in lost profits and other business damages to Complainants.

94. As explained by the FMC's Chief Administrative Law Judge in *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG et al.*, FMC Docket No. 21-11, in which another ocean common carrier similarly failed to fulfill its service

commitments under a service contract and caused a shortfall of container carriage for the complaining shipper, lost profits can be determined by calculating the average profits per container of the shipper's cargo actually carried during the relevant time period multiplied by the shortfall of containers that the carrier failed to carry. The per-container average profit applicable to Complainants' goods for the relevant time period is a matter of fact to be proven at trial, and at least one methodology of calculating Complainants' lost profits would be to multiply each Complainants' average per-container profit by Respondent's service commitment shortfall of 627 and 662 FEUs, respectively.

95. As alleged herein, Respondent's conduct injured Complainants in several ways, including by creating delays in moving freight, by forcing Complainants to allocate scarce resources to ocean freight costs, creating uncertainty and scarcity within the business, and interfering with Complainants' ability to operate, and resulting in injuries, including lost profits, in an amount to be determined at trial.

96. During the term of the Service Contracts, as a result of Respondent's imposition of improper additional charges on top of contracted rates, QVC, Inc. was forced to pay Respondent an amount up to or exceeding approximately \$1,475,142 and Cornerstone Brands, Inc. was forced to pay Respondent an amount up to or exceeding approximately \$344,301 more than the rates that Complainants would have paid had Respondent charged the rates negotiated and agreed in the Service Contracts.

97. During the 2021–2022 shipping year, Complainants paid demurrage and detention charges imposed by Respondent, with QVC, Inc. paying at least approximately \$797,835 and Cornerstone Brands, Inc. paying at least approximately \$978,784. Complainants believe that a substantial majority of the Charges, in an amount to be determined by the FMC in this proceeding,

were unjustly and unreasonably assessed, and requests reparations for all such Charges that the FMC determines did not comply with 46 U.S.C. Section 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 and the FMC's the Interpretive Rule.

98. In addition to the injuries stated in the preceding paragraphs, Complainants also suffered other injuries to be calculated at trial.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainants respectfully request that the FMC require Respondent to answer this Complaint pursuant to 46 U.S.C. Section 41301(b), and pray for relief from the FMC as follows:

1. An investigation by the FMC pursuant to 46 U.S.C. Section 41301(c) of the allegations in this Complaint and the Charges' compliance with 46 U.S.C. Sections 41102(c) and 41104 and reasonableness pursuant to 46 C.F.R. Section 545.5 and the FMC's Interpretive Rule;

2. An Order, after due investigation pursuant to 46 U.S.C. Section 41301(c), finding: (i) that the Respondent has violated 46 U.S.C. Section 41102(c) by systematically failing to meet its service commitments to Complainants and, upon information and belief, other shippers under their service contracts, by preferring higher priced carriage of other shippers' cargo, by seeking to coerce Complainants and, upon information and belief, other shippers, to pay PSS, premium pricing, and other improper surcharges or enter into premium contracts in order to obtain previously contracted space; (ii) that Respondent has violated 46 U.S.C. Section 41104(a)(2) by providing service not in accordance with the rules and practices contained in Respondent's Service Contracts with Complainants, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC; and (iv) that Respondent has violated 46 U.S.C. Section 41104(a)(10) by systematically failing to meet their service commitments to Complainants under

the Service Contracts, by preferring higher priced carriage of other shippers' cargo, by seeking to coerce Complainants and, upon information and belief, other shippers, to pay PSS, premium pricing, and other improper surcharges or enter into premium contracts in order to obtain previously contracted space, in connection with their receipt, handling, storage, and delivery of the property of Complainants;

3. An Order, after due investigation pursuant to 46 U.S.C. Section 41301(c), finding that Respondent has violated 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule by assessing unjust and unreasonable Charges, or a substantial majority thereof, in connection with its receipt, handling, storage, and delivery of the property of Complainants; and that Respondent's assessment of the Charges or a substantial majority thereof constituted unreasonable refusals to deal or negotiate with Complainants and Complainants' agents and service providers, in violation of 46 U.S.C. Section 41104(a)(10);

4. An Order compelling Respondent to cease and desist from violation of the Shipping Act, and to put in place lawful and reasonable practices to preclude Respondent from systematically failing to meet its respective service commitments to Complainants and other shippers under its service contracts, coercing Complainants or other shippers to pay PSS, premium rates, and other improper surcharges or enter into premium contracts in order to obtain previously contracted cargo space, or assessing unjust and unreasonable charges in connection with its receipt, handling, storage, and delivery of the property of Complainants or other shippers;

5. An Order requiring Respondent to pay Complainants reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), Complainants' reasonable attorneys' fees as "the

prevailing party” pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and

6. Such other and further orders or relief as the FMC deems just and proper.

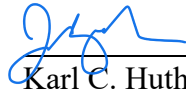
X. REQUEST FOR ORAL HEARING

Complainants request an oral hearing in Washington, DC.

Dated: June 11, 2025

Respectfully submitted,

HUTH REYNOLDS LLP



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Counsel for QVC, Inc. and Cornerstone Brands, Inc.

QVC, INC. VERIFICATION

I, George Conway, am an authorized signatory of Complainant QVC, Inc., Studio Park, 1200 Wilson Drive, West Chester, Pennsylvania 19380, email George.Conway@qvc.com. I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct. Executed on June 11, 2025.

A handwritten signature in black ink, appearing to read 'George Conway', is written above a horizontal line.

George Conway

CORNERSTONE BRANDS, INC. VERIFICATION

I, Steve Flunker, am an authorized signatory of Complainant Cornerstone Brands, Inc., 5568 W Chester Road, West Chester, Ohio 45069, email Steve.Flunker@ballarddesigns.net. I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct. Executed on June 11, 2025.



Steve Flunker